

# PT Merck Sharp & Dohme Indonesia Tbk. (Formerly PT Schering-Plough Indonesia Tbk)

Pharmaceuticals

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**Business** Pharmaceuticals  
**Company Status** PMA

**Financial Performance:** The Company booked net loss amounted IDR 25.42 billion in 2011, compared than last year loss at IDR 8.04 billion.

**Brief History:** Originally founded in 1972 as PT Essex Indonesia, the company is a joint venture between Bernard Mu-rimboh of Indonesia and Schering Corporation of the United States. Prior to going public in 1990, the company changed its name to Schering Plough Indonesia. Products manufactured in its Surabaya plant include GARAMYCIN and NETROMICYN injectable antibiotics, Betamenthason Dipropionate and Val-erate cream for skin diseases, CLARITIN and CLARINASE for allergy disorders. The company currently uses PT Anugerah Pharmindo Lestari as a sole distributor.

Recently, new products in Hepatitis and Cancer, IN-TRON-A and FUGEREL as well as in Dermatology, LOTRID-ERM and ELOCON were introduced to the Indonesian market. In 1995 a highly effective antibiotic CEDAX was also launched. The company was ranked the best in the pharmaceutical sector in 1996 based on fundamental and technical ratings in the stock exchange.

## Summary of Financial Statement

|                                      | (Million Rupiah) |          |          |
|--------------------------------------|------------------|----------|----------|
|                                      | 2009             | 2010     | 2011     |
| <b>Total Assets</b>                  | 206,257          | 233,756  | 312,519  |
| Current Assets                       | 163,155          | 191,176  | 257,330  |
| of which                             |                  |          |          |
| Cash and cash equivalents            | 2,231            | 2,663    | 28,209   |
| Trade receivables                    | 54,425           | 60,353   | 84,036   |
| Inventories                          | 102,531          | 111,097  | 115,368  |
| Non-Current Assets                   | 43,102           | 42,580   | 55,188   |
| of which                             |                  |          |          |
| Fixed Assets-Net                     | 35,871           | 30,687   | 41,425   |
| Deferred Tax Assets                  | 4,133            | 4,896    | 7,656    |
| Other Assets                         | 2,333            | 6,719    | 6,038    |
| <b>Liabilities</b>                   | 186,589          | 221,633  | 290,922  |
| Current Liabilities                  | 174,032          | 210,043  | 68,090   |
| of which                             |                  |          |          |
| Bank loans                           | 152,173          | 155,446  | n.a      |
| Trade payables                       | 6,742            | 26,983   | 35,775   |
| Taxes payable                        | 1,581            | 632      | 1,073    |
| Accrued expenses                     | n.a              | 18,705   | 17,017   |
| Non-Current Liabilities              | 12,556           | 11,590   | 222,832  |
| <b>Shareholders' Equity</b>          | 19,668           | 12,123   | 21,597   |
| Paid-up capital                      | 3,600            | 3,600    | 3,600    |
| Paid-up capital                      |                  |          |          |
| in excess of par value               | 1,144            | 1,642    | 1,721    |
| Revaluation of fixed assets          | n.a              | n.a      | n.a      |
| Retained earnings (accumulated loss) | 14,924           | 6,881    | 16,276   |
| <b>Net Sales</b>                     | 284,900          | 260,316  | 273,311  |
| Cost of Goods Sold                   | 171,284          | 165,908  | 204,148  |
| Gross Profit                         | 113,616          | 94,408   | 69,163   |
| Operating Expenses                   | 77,878           | 90,081   | 93,105   |
| Operating Profit (Loss)              | 35,738           | 4,327    | (23,942) |
| Other Income (Expenses)              | (17,496)         | (11,820) | (4,238)  |
| Profit (loss) before Taxes           | 18,242           | (7,493)  | (28,180) |
| Comprehensive Profit (loss)          | 10,789           | (8,043)  | (25,420) |
| <b>Per Share Data (Rp)</b>           |                  |          |          |
| Earnings (Loss) per Share            | 2,997            | (2,234)  | (7,061)  |
| Equity per Share                     | 5,463            | 3,368    | 5,999    |
| Dividend per Share                   | n.a              | n.a      | n.a      |
| Closing Price                        | 39,000           | 37,900   | 25,000   |
| <b>Financial Ratios</b>              |                  |          |          |
| PER (x)                              | 13.01            | (16.96)  | (3.54)   |
| PBV (x)                              | 7.14             | 11.25    | 4.17     |
| Dividend Payout (%)                  | n.a              | n.a      | n.a      |
| Dividend Yield (%)                   | n.a              | n.a      | n.a      |
| Current Ratio (x)                    | 0.94             | 0.91     | 3.78     |
| Debt to Equity (x)                   | 9.49             | 18.28    | 13.47    |
| Leverage Ratio (x)                   | 0.90             | 0.95     | 0.93     |
| Gross Profit Margin (x)              | 0.40             | 0.36     | 0.25     |
| Operating Profit Margin (x)          | 0.13             | 0.02     | (0.09)   |
| Net Profit Margin (x)                | 0.04             | n.a      | n.a      |
| Inventory Turnover (x)               | 1.67             | 1.49     | 1.77     |
| Total Assets Turnover (x)            | 1.38             | 1.11     | 0.87     |
| <b>ROI (%)</b>                       | 5.23             | (3.44)   | (8.13)   |
| <b>ROE (%)</b>                       | 54.86            | (66.35)  | (117.70) |

PER = -6.54x ; PBV = 13.50x (June 2012)

Financial Year: December 31

Public Accountant: Tanudiredja, Wibisana & Co.

|                             | (million rupiah) |         |
|-----------------------------|------------------|---------|
|                             | 2012             | 2011    |
| <b>Total Assets</b>         | 366,750          | 312,268 |
| Current Assets              | 251,540          | 262,076 |
| Non-Current Assets          | 115,209          | 50,193  |
| <b>Liabilities</b>          | 355,546          | 292,366 |
| <b>Shareholders' Equity</b> | 11,204           | 19,902  |
| <b>Net Sales</b>            | 137,950          | 150,355 |
| <b>Profit after Taxes</b>   | (10,393)         | 7,779   |
| <b>ROI (%)</b>              | (2.83)           | 2.49    |
| <b>ROE (%)</b>              | (92.76)          | 39.09   |
| <b>In June</b>              |                  |         |

## Shareholders

|                           |        |
|---------------------------|--------|
| Merck Sharp & Dohme Corp. | 64.60% |
| MSD Consumer Care, Inc.   | 24.60% |
| Public                    | 10.80% |

### Board of Commissioners

*President Commissioner* Patrick Bergstedt  
*Commissioners* Christopher Patrick McNamara,  
Irsan Budianto Darmadji

### Board of Directors

*President Director* Tan Gooi Chen/Chris Tan  
*Directors* Stephen Then, Novian Zein, Pei Ling Ng

*Number of Employees* 454

| No | Type of Listing | Listing Date | Trading Date | Number of Shares per Listing | Total Listed Shares |
|----|-----------------|--------------|--------------|------------------------------|---------------------|
| 1  | First Issue     | 08-Jun-90    | 08-Jun-90    | 892,800                      | 892,800             |
| 2  | Partial Listing | 25-Aug-94    | 25-Aug-94    | 187,200                      | 1,080,000           |
| 3  | Company Listing | 05-Jan-01    | 05-Jan-01    | 2,520,000                    | 3,600,000           |

### Underwriters

PT Inter-Pacific Financial Corporation, PT Jardine Fleming Nusantara Finance

### Stock Price, Frequency, Trading Days, Number and Value of Shares Traded and Market Capitalization

| Month        | Stock Price |          |            | Shares Traded            |                    | Frequency | Trading Day | Listed Shares | Market Capitalization (Rp Million) |
|--------------|-------------|----------|------------|--------------------------|--------------------|-----------|-------------|---------------|------------------------------------|
|              | High (Rp)   | Low (Rp) | Close (Rp) | Volume (Thousand Shares) | Value (Rp Million) |           |             |               |                                    |
| January-11   | 42,500      | 32,000   | 32,000     | 8.00                     | 280.00             | 13        | 5           | 3,600,000     | 115,200.00                         |
| February-11  | 32,000      | 32,000   | 32,000     | 1.00                     | 16.00              | 1         | 1           | 3,600,000     | 115,200.00                         |
| March-11     | 28,000      | 28,000   | 28,000     | 1.00                     | 14.00              | 1         | 1           | 3,600,000     | 100,800.00                         |
| April-11     | 28,000      | 28,000   | 28,000     | 10.00                    | 280.00             | 2         | 1           | 3,600,000     | 100,800.00                         |
| May-11       | 28,000      | 28,000   | 280,001    | 1.00                     | 14.00              | 1         | 1           | 3,600,000     | 100,800.00                         |
| June-11      | 0           | 0        | 28,000     | 0.00                     | 0.00               | 0         | 0           | 3,600,000     | 100,800.00                         |
| July-11      | 25,000      | 25,000   | 25,000     | 1.00                     | 29.00              | 6         | 2           | 3,600,000     | 90,000.00                          |
| August-11    | 35,500      | 26,050   | 26,050     | 6.00                     | 169.00             | 11        | 5           | 3,600,000     | 93,780.00                          |
| September-11 | 25,000      | 25,000   | 25,000     | 1.00                     | 25.00              | 2         | 2           | 3,600,000     | 90,000.00                          |
| October-11   | 0           | 0        | 25,000     | 0.00                     | 0.00               | 0         | 0           | 3,600,000     | 90,000.00                          |
| November-11  | 25,000      | 25,000   | 25,000     | 2.00                     | 50.00              | 1         | 1           | 3,600,000     | 90,000.00                          |
| December-11  | 0           | 0        | 25,000     | 0.00                     | 0.00               | 0         | 0           | 3,600,000     | 90,000.00                          |
| January-12   | 42,500      | 30,000   | 42,000     | 5.00                     | 192.00             | 7         | 3           | 3,600,000     | 151,200.00                         |
| February-12  | 0           | 0        | 42,000     | 0.05                     | 2.00               | 1         | 1           | 3,600,000     | 151,200.00                         |
| March-12     | 0           | 0        | 42,000     | 0.00                     | 0.00               | 0         | 0           | 3,600,000     | 151,200.00                         |
| April-12     | 0           | 0        | 42,000     | 0.10                     | 3.00               | 1         | 1           | 3,600,000     | 151,200.00                         |
| May-12       | 0           | 0        | 42,000     | 0.00                     | 0.00               | 0         | 0           | 3,600,000     | 151,200.00                         |
| June-12      | 0           | 0        | 42,000     | 0.20                     | 0.10               | 1         | 1           | 3,600,000     | 151,200.00                         |

### Stock Price and Traded Chart

